

Investment Concentration and Internal Finance in the AI Boom

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Abstract

Aggregate financing can differ from that facing the typical investment project when investment is concentrated. Among the 500 largest U.S. public companies, incremental operating cash flow covers 118% of the 2022–2025 investment increase at the five largest investors and 104% at the top ten, which account for 52.5% of it, but –7% across the remaining 217 firms. This rank–coverage gradient is absent in 2014–2017 and 2018–2021, one of which was more concentrated at the top. Evidence on externally financed marginal projects therefore need not characterise the investment-weighted aggregate.

Keywords: investment concentration, internal finance, artificial intelligence, corporate investment, aggregation

JEL: G31, G32, E22, O32

1. Introduction

Among the 500 largest U.S. public companies, incremental operating cash flow over 2022–2025 covers 118% of the incremental capital expenditure of the five largest investors and 104% of that of the top ten, which account for 52.5% of the positive increment, but –7% across the remaining 217 firms with rising investment (Table 1). Net debt rises correspondingly: those 217 firms took on \$280 billion of cumulative net new debt, against –\$3 billion for the top five. The five—Alphabet, Amazon, Oracle, Meta and Microsoft, selected mechanically as those with the largest absolute increase in real capital expenditure—carry 38.7% of that increment on their own.

Such a gradient matters because financing evidence gathered at the project margin need not characterise the investment-weighted aggregate. Recent work documents the artificial-intelligence buildout being financed through private credit, infrastructure funds, off-balance-sheet vehicles and hardware-collateralised lending, and asks what the exposures imply for financial stability (Van Nieuwerburgh, 2026; Thelisson, 2026; Ledesma Padilla, 2026). That evidence describes particular projects and particular firms. Because an aggregate is a capital-expenditure-weighted sum, it is dominated by wherever the incremental spending occurred, and here the incremental spending is extraordinarily concentrated: the Herfindahl index of capital expenditure within the 500 rises from 173 in 2021 to 309 in 2025, while excluding the five largest spenders it moves only from 95 to 104.

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Concentration alone does not produce the gradient. Repeating the same calculation over 2018–2021 and 2014–2017 gives coverage that is flat or rising across the distribution, with the tail the most internally covered group in both, and the 2018–2021 window carries a *higher* top-five share of the increase than 2022–2025. What distinguishes the current episode is not that investment became concentrated but that it concentrated among firms whose internal cash generation was unusually strong relative to their own investment.

That corporate investment is concentrated, and that internal funds and investment covary at the firm level, are both established (Grullon et al., 2018; Gutierrez and Philippon, 2017; Fazzari et al., 1988; Kaplan and Zingales, 1997; Myers and Majluf, 1984). Our contribution is to document the alignment between the two during this boom and to show it is historically unusual. Unlike Grullon et al. (2018), which estimates how cash flow predicts investment, we report an ex-post coverage ratio for one episode, and we interpret the exercise as an accounting decomposition of realised flows, not a causal financing test.

2. Data and methods

Firm-level data are constructed from the SEC’s XBRL *frames* interface for 2013–2025 and reconciled to the underlying filings; Appendix F documents the construction, which unions alternative tags because a single-tag series would omit Amazon and 448 other filers, and Appendix B the validation. We measure the buildout using total capital expenditure, following Board of Governors (2026) and Van Nieuwerburgh (2026).

The universe is the 500 U.S. registrants with the largest fiscal-2024 revenue, combined revenue \$19.75 trillion—the Fortune 500’s ranking basis, excluding non-filers. Listed firms exclude a growing private segment (Doidge et al., 2017). Figures are deflated to 2025 dollars using the BLS producer price index for private capital equipment (WPUFD4131).

One measurement point bears on interpretation rather than construction: SEC fiscal-year labels are not calendar years for off-calendar filers, so Oracle’s 2025 observation extends through May 2026. We retain the SEC convention.

The exercise cumulates incremental flows rather than comparing two annual observations. For each series X and firm i ,

$$\Delta X_i = \sum_{t=2022}^{2025} (X_{it} - \bar{X}_i), \quad (1)$$

$$\text{Coverage}_i = \frac{\Delta \text{OCF}_i}{\Delta \text{CAPEX}_i}, \quad (2)$$

where $\bar{X}_i$ is either the 2021 value (baseline A) or the 2017–2021 average (baseline B). The ratio requires an observed baseline as well as a positive denominator: a firm absent in 2021 would otherwise be assigned a baseline of zero, making its entire subsequent spending appear incremental. Twenty-five firms fail that condition and are excluded, removing \$36 billion of spurious increment. The condition holds for 267 firms; firms whose investment fell are excluded rather than assigned a signed ratio. Because R&D is an operating expense already deducted in arriving at operating cash flow, it cannot enter as a separately financed use and is reported as a memorandum item.

The five focal firms are selected mechanically from financial statements, not from AI disclosures. Contemporaneous company filings independently identify AI-related compute capacity and data-centre infrastructure as drivers of the investment acceleration for three of the five; Appendix A records the evidence firm by firm, including the two cases where the

filings do not support that reading. Coverage above 100% establishes that internally generated cash grew by more than investment did, not that particular dollars financed particular assets. Every reported number is produced from frozen, hashed source files by a single script, and the manuscript is gated against the resulting claims file.

3. Results

3.1. *A historically unusual rank–coverage gradient*

Table 1 reports the central result. Ranking the 267 firms with rising investment by their cumulative incremental capital expenditure traces a rank–coverage gradient: internal cash coverage peaks at the five largest investors and then falls at every successive cut, from 118% for the top five to -7% for the remaining 217, while cumulative net new debt rises from $-\$3$ billion to $\$280$ billion. The top ten firms account for 52.5% of positive incremental capital expenditure at 104% coverage.

Coverage is not monotone across the first three cuts: 67% for the largest single investor and 70% for the top three, before rising to 118% at the top five. This reflects the firm-level dispersion in Section 3.2: Alphabet, Meta and Oracle lie between 63% and 79%, while Microsoft and Amazon, ranked fourth and fifth, are at 122% and 344%. The decline is a property of expanding the sample beyond the five largest investors, and that is the claim we make.

The gradient matters for any aggregate statement. Aggregate coverage is a capital-expenditure-weighted average of firm-level coverage, so it is determined by where in the distribution the incremental spending sits rather than by the typical firm. Firms with coverage below 50% account for 30.4% of positive incremental capital expenditure.

The gradient is specific to this window. Table 2 repeats the calculation over 2018–2021 and 2014–2017: coverage is flat or rising across the distribution, and the tail is the most internally covered group in both. The 2018–2021 window carries a higher top-five share of the increase (42.3%) than 2022–2025 (38.7%), so concentration alone does not produce the pattern.

3.2. *The aggregate for the top of the distribution*

For the five largest incremental investors, cumulative incremental operating cash flow over 2022–2025 was $\$438$ billion against $\$371$ billion of cumulative incremental capital expenditure, a coverage ratio of 118%, with cumulative net new debt of $-\$3$ billion and net new equity of $\$2$ billion. On the 2017–2021 average baseline the corresponding figures are $\$762$ billion, $\$588$ billion, coverage 130%, and net new debt $\$37$ billion. Both baselines give the same answer.

Coverage exceeds 80% omitting any single firm, ranging from 81% (omitting Amazon) to 136% (omitting Alphabet), and exceeds 100% in four of the five cases. Firm-level coverage is nonetheless dispersed—63% at Oracle, 67% at Alphabet, 79% at Meta, 122% at Microsoft and 344% at Amazon—so sufficiency is a property of the group aggregate and not of every constituent; Appendix C reports the firm-level decomposition and the leave-one-out calculation.

3.3. *Attribution: AI-exposed firms identified independently*

The rank–coverage gradient is constructed independently of AI labels; we therefore assess the AI interpretation separately, using firms’ contemporaneous filings and a measure built without reference to any financing outcome. The firms at the bottom of the distribution are utilities, airlines, pipelines and energy producers, whose borrowing is unrelated to compute. We score each registrant’s most recent 10-K against a dictionary of AI terminology fixed

before any subsample result was computed, following established practice in building firm-level measures from filing text (Loughran and McDonald, 2011; Hoberg and Phillips, 2016; Ante and Saggiu, 2025); details are in Appendix D. The measure identifies the expected firms without conditioning on industry, the highest scores being NVIDIA, Amazon, Meta, Advanced Micro Devices, Microsoft, Oracle and Alphabet.

Within the top decile of AI intensity (27 firms) coverage is 128% and cumulative net new debt is $-\$24$ billion; at the top-quintile cutoff (53 firms) coverage is 138% (Table 1, panel B). Coverage exceeds 100% at every cut and net new debt is zero or negative throughout, against -7% and $\$280$ billion across the full distribution. The five largest investors account for 92.5% of the top decile’s incremental capital expenditure, so this corroborates the main result on an independently defined universe rather than testing it independently.

3.4. The margin narrowed

The result is bounded in time. Capital expenditure absorbed 31% of the five firms’ operating cash flow in 2017 and 70% in 2025, so internal financing slack narrowed sharply over the sample. That narrowing is consistent with external financing becoming more important as the buildout progresses.

Table 1: Internal cash coverage of incremental investment, cumulative flows 2022–2025

	Firms	Share of increase (%)	Coverage (%)	Net new debt (\$bn)
<i>Panel A. By rank in incremental capital expenditure</i>				
Top 1	1	10.1	67	0
Top 3	3	26.2	70	60
Top 5	5	38.7	118	−3
Top 10	10	52.5	104	29
Top 20	20	63.9	84	−69
Top 50	50	81.5	55	148
Remaining firms	217	18.5	−7	280
<i>Panel B. By AI intensity, measured from 10-K text</i>				
Top decile	27	41.8	128	−24
excluding top five	22	3.1	248	−20
Top quintile	53	43.4	138	0
excluding top five	48	4.8	301	3

Notes. Sample: the 267 firms among the 500 largest U.S. registrants by fiscal-2024 revenue that report capital expenditure in both 2021 and 2025 and whose cumulative incremental capital expenditure over 2022–2025 is positive; their aggregate incremental capital expenditure is $\$959$ billion. Increments follow equation (1) and coverage equation (2). Shares are of that $\$959$ billion. Amounts in billions of 2025 dollars, deflated by BLS series WPUFD4131. AI intensity is dictionary occurrences per 10,000 words of the firm’s most recent 10-K, with dictionary and cutoffs fixed before any financing result was computed (Appendix D). On the 2017–2021 average baseline the top five show coverage of 130% and net new debt of $\$37$ billion.

4. Conclusion

The financing of marginal projects need not characterise an investment boom in the aggregate. During the AI buildout, internal cash coverage falls from 118% for the five largest incremental

Table 2: Internal cash coverage by investment rank, earlier four-year windows

	2022–25	2018–21	2014–17
Top 5	118	175	182
Top 10	104	159	188
Top 20	84	126	147
Top 50	55	133	145
Remaining firms	–7	566	262
Top-5 share of increase	38.7	42.3	21.6

Notes. Coverage in percent, computed as in Table 1, panel A, on the same construction and baseline convention. Each window uses its own baseline year (2021, 2017 and 2013) and its own sample of firms with positive cumulative incremental capital expenditure over the four years following.

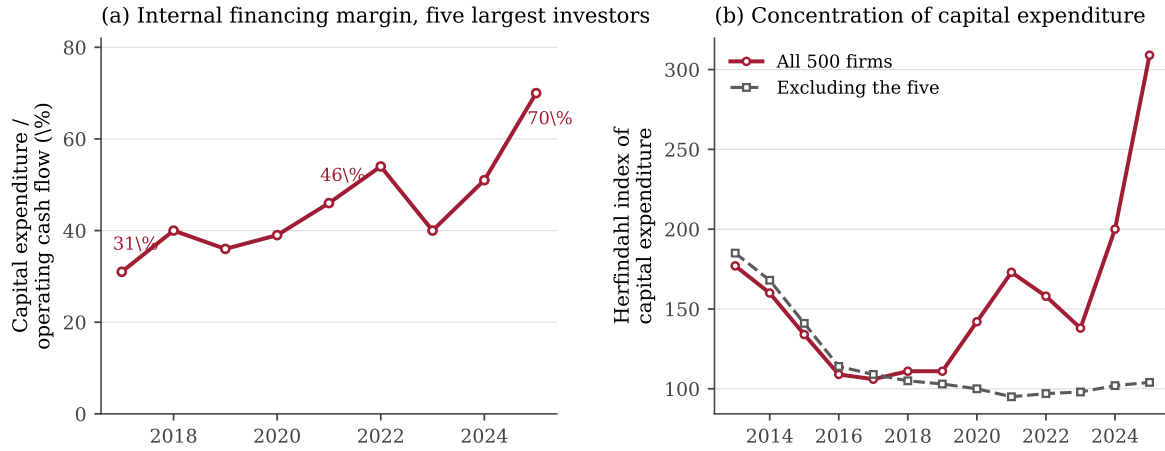


Figure 1: Left: capital expenditure as a share of operating cash flow, the five largest incremental investors, 2017–2025. Right: Herfindahl index of capital expenditure among the 500 largest U.S. public companies by revenue, with and without those five firms.

investors to -7% for the remaining 217, while net debt rises down the distribution. The top ten account for 52.5% of positive incremental capital expenditure at 104% coverage. This rank-coverage gradient is specific to the current boom: it is absent in the preceding two four-year windows, including 2018–2021, when investment was more concentrated at the top.

This reconciles, rather than contradicts, evidence on external financing: within public firms, borrowing is concentrated away from the largest investors, while project-finance structures lie largely outside our sample. The result is time-specific; capital expenditure absorbed 70% of the five firms’ operating cash flow in 2025, versus 31% in 2017.

Two limitations bound the reading. This is an accounting decomposition of realised flows, not evidence that particular dollars financed particular assets or a counterfactual of firm behaviour. The sample covers large public filers and is silent on private firms and special-purpose vehicles.

CRedit authorship contribution statement

Samir Chincholikar: Conceptualization, Methodology, Software, Formal analysis, Writing – original draft. **Robin Chawla:** Conceptualization, Validation, Writing – review & editing, Supervision.

Declaration of competing interest

The authors declare that they have no known competing financial interests or personal relationships that could have appeared to influence the work reported in this paper.

Funding

This research did not receive any specific grant from funding agencies in the public, commercial, or not-for-profit sectors.

Data availability

All code and derived data required to reproduce every table, figure and reported number are openly available in the replication archive. The underlying raw data are public: the U.S. SEC XBRL *frames* interface and Bureau of Labor Statistics series WPUFD4131.

Declaration of generative AI and AI-assisted technologies in the manuscript preparation process

During the preparation of this work the authors used Claude (Anthropic) for code scaffolding, code review, minor grammatical edits and readability improvements. The tool was not used to generate, analyse or alter any datum, estimate, table or figure: all results are produced by the deposited scripts from the frozen source files. After using this tool the authors reviewed and edited the content as needed and take full responsibility for the content of the publication.

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Appendix A. AI attribution: primary-source validation

The five firms are selected mechanically from financial statements, not from AI disclosures. This table records what their own filings say; quotations are verbatim.

Firm	Filing	Disclosure	Capex–AI link
Alphabet	10-K FY2025	“We continue to invest in capital expenditures as we scale our technical infrastructure, in particular for AI”; “we expect to significantly increase, relative to 2025, our investment in our technical infrastructure, including servers and network equipment, and data centers.”	Explicit
Meta	10-K FY2025	“\$69 billion of purchases of property and equipment as we continued to invest in servers, data centers, and network infrastructure”; “We anticipate making capital expenditures of approximately \$115 billion to \$135 billion in 2026 to support our AI efforts and core business.”	Explicit
Microsoft	10-K FY2026	“We will continue to invest in capital expenditures to support growth in our cloud offerings and our investments in AI training and other infrastructure.”	Explicit
Oracle	10-K FY2026	Capital expenditure appears in risk factors as “multi-year commitments for excess data center space and related capital expenditures” and retrofit needs from “technological changes in data center design and equipment.”	Partial
Amazon	10-K FY2025	No sentence in the filing links capital-expenditure growth to AI or compute capacity; AI is discussed in competition and technology contexts only.	None

Sources. Filings are retrievable from SEC EDGAR at <https://www.sec.gov/Archives/edgar/data/CIK/accession/>, with: Alphabet, CIK 1652044, accession 0001652044-26-000018; Meta, 1326801, 0001628280-26-003942; Microsoft, 789019, 0001193125-26-323660; Oracle, 1341439, 0001193125-26-277521; Amazon, 1018724, 0001018724-26-000004.

Assessment. Three of five firms explicitly attribute capital-expenditure growth to AI or AI-supporting infrastructure in their 10-K. Oracle’s capital-expenditure discussion is data-centre-specific but not AI-explicit. Amazon’s 10-K contains no such statement, so its inclusion rests solely on the mechanical rule. The main text therefore claims only that contemporaneous disclosures independently identify AI-related compute and data-centre infrastructure as important drivers for most of the group, not that all incremental capital expenditure at these firms is AI expenditure.

Appendix B. Reconciliation to as-filed 10-K values

Each constructed observation for the five focal firms is matched to a 10-K-reported value for the *same fiscal period*. Matching on period rather than on year label is necessary because the SEC assigns a fiscal year to the calendar year containing most of its months.

	Count	
Observations reconciled (5 firms, 7 series, 2 years, where reported)	49	
Exact match to originally filed value	48	98%
Matches restated value	1	Meta capital expenditure 2021
Unexplained discrepancies	0	

The single non-identical case is not an extraction error. Meta reported 2021 capital expenditure of \$18.567bn in its FY2021 10-K (filed 2022-02-03) and \$18.690bn for the same period in its FY2022 and FY2023 10-Ks (accession 0001326801-23-000013 and 0001326801-24-000012). The SEC interface returns the most recently reported figure, and our series uses it. No constructed value differs from the corresponding filed value once restatement is taken into account.

Fiscal-period alignment. Microsoft’s observations are fiscal years ending in June and Oracle’s fiscal years ending in May. Oracle’s 2021 observation therefore covers 2021-06-01 to 2022-05-31 and its 2025 observation covers 2025-06-01 to 2026-05-31; the latter extends five months beyond the calendar-year endpoint used for Alphabet, Amazon and Meta. We retain the SEC convention. Because Oracle’s investment rose steeply in that fiscal year, this shifts its contribution later rather than earlier, and the leave-one-out calculation in Appendix C shows group coverage of 131% with Oracle omitted, against 118% including it.

Appendix C. Firm-level decomposition and leave-one-out

Cumulative incremental flows, 2022–2025, baseline A (2021), billions of 2025 dollars.

Firm	ΔCapex	ΔOCF	Net debt	Net equity	$\Delta\text{R\&D}$	$\Delta\text{Repurch.}$	Coverage
Alphabet	97	65	0	0	53	0	67%
Meta	82	65	60	0	64	−103	79%
Oracle	73	46	0	2	5	−74	63%
Microsoft	68	83	0	0	20	−35	122%
Amazon	52	179	−64	0	0	7	344%
<i>Leave-one-out: group coverage with the named firm omitted</i>							
Omit Alphabet	274	373					136%
Omit Meta	289	372					129%
Omit Oracle	298	391					131%
Omit Microsoft	303	355					117%
Omit Amazon	319	259					81%

Amazon reports no separate R&D line, so its $\Delta\text{R\&D}$ is zero by construction rather than by measurement.

Appendix D. AI-exposure measure: pre-specification and construction

Source. The most recent 10-K for each sample firm, retrieved from SEC EDGAR via the submissions API. HTML is stripped to text and lower-cased; 261 of the 267 sample firms yielded a scoreable filing (six had no retrievable 10-K primary document).

Pre-specification. The dictionary and cutoffs below were fixed in the collection script before any subsample financing result was computed, and the script header records this. No term was added, removed or reweighted after inspecting a result.

Dictionary. Model and method vocabulary: *artificial intelligence, machine learning, generative ai, deep learning, neural network, large language model, foundation model, ai model, ai capabilities, ai infrastructure, accelerated computing*. A separate infrastructure list (*data center/centre, graphics processing unit, gpu, compute capacity, accelerator, training cluster, inference capacity*) is recorded but not used in the primary cut.

Score. $\text{AI intensity}_i = 10,000 \times (\text{dictionary occurrences}) / (\text{total words})$. Distribution across the sample: median 0.64, 80th percentile 1.35, 90th percentile 2.21.

Cutoffs. AI-exposed = top decile (threshold 2.21, $n = 27$); robustness at top quintile (threshold 1.35, $n = 53$).

Face validity. The ten highest-scoring firms are NVIDIA, Amazon, Meta, Advanced Micro Devices, Microsoft, Medline, Oracle, Alphabet, Target and Workday. Seven of the ten are compute or platform firms. The measure also admits firms that discuss AI heavily without building infrastructure—Medline, Target, Workday—which is a known cost of a term-frequency filter and is not corrected ex post. Because these firms are small incremental investors, they carry little weight: the five largest incremental investors account for 92.5% of the top decile’s incremental capital expenditure.

Appendix E. Alternative group definitions

Group	ΔCapex	ΔOCF	Net debt	Coverage	Share of increase
Top 3	251	176	60	70%	26.2%
Top 5	371	438	−3	118%	38.7%
Top 10	503	522	29	104%	52.5%
Top 20	613	517	−69	84%	63.9%

Groups are ranked by cumulative incremental capital expenditure within the 267-firm analysis sample, on the same basis as Table 1. Amounts in billions of 2025 dollars; shares are of the \$959 billion aggregate cumulative increment.

Appendix F. Data construction

Capital expenditure unions `PaymentsToAcquirePropertyPlantAndEquipment` and `PaymentsToAcquireProductiveAssets`; operating cash flow unions `NetCashProvidedByUsedInOperatingActivities` with its continuing-operations variant; repurchases and dividends likewise union their alternates. Single-tag construction omits Amazon and 448 other filers representing \$404 billion of 2025 capital expenditure. Deflator: BLS PPI WPUFD4131. All source files are frozen and SHA-256 hashed; every number in the manuscript is verified against a machine-generated claims file by an automated build gate.